

BEN & JERRY'S: THE INSIDE SCOOP

How Two Real Guys Built a Business
with a Social Conscience and a Sense of Humor

By Fred 'Chico' Lager

The Big "So What"



In less than 15 years, Ben & Jerry's grew from an ice cream parlour in an abandoned gas station (with \$12,000 investment), to a publicly traded corporation with annual sales of over \$100 million. The book traces the inside story of how Ben & Jerry's evolved from a start-up to leading company, yet remained one of the most innovative, progressive and socially responsible businesses in the world.

Introduction



This anecdotal story is told through the eyes of Fred Lager ("Chico") who was hired in 1982 as the Ben & Jerry's General Manager and became President and CEO in 1989. The book gives us a glimpse of:

- Ben Cohen and Jerry Greenfield as individuals and entrepreneurs;
- How they conceptualized and grew their start-up;
- The various struggles and growing pains that the company faced; and
- How the company overcame these challenges to become one of the leading premium ice cream brand.

The story stopped in 1994 (when the book was published) and didn't include subsequent developments e.g. Ben & Jerry's acquisition by Unilever in 2000. Nonetheless, it provides useful insights on how the company grew from a struggling start-up to a successful listed corporation. It's an entertaining and inspiring read for ice-cream lovers and entrepreneurs alike.

In this summary, we'll first outline the key milestones of Ben

KEY QUOTES

"Other than its ice cream and yoghurt, the company is perhaps best known for bringing 'sixties values' to today's business world."

'The most amazing thing is that our social values...have actually helped us to become a stable, profitable, high-growth company... Like individuals, businesses can conduct themselves with the knowledge that the hearts, souls and spirits of all people are interconnected; so that as we help others, we cannot help helping ourselves.'
- Ben Cohen

"I'd rather fail at something new than succeed at something old."
-- Ben Cohen

"We can't just optimize profits. We have to optimize the community as well."
-- Ben Cohen

& Jerry's growth from start-up to 1994, before distilling the highlights and insights that we've gleaned from their journey.

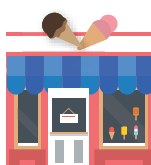
Key Milestones

Jerry and Ben went into business without a real plan, business background nor knowledge of ice-cream making. They simply figured things out along the way and overcame each challenge with creativity and great work ethics.



1977: A decision is made

Ben Cohen and Jerry Greenfield met in high school. Since young, Ben could put 100% into something he believed in, but he was totally uninterested in something imposed on him. He eventually dropped out of university, tried a year of pottery course and took on a range of jobs before deciding to go into business in 1977. Jerry, on the other hand, did well in school academically. However, his grades slipped as he took on more sporting activities, he couldn't get a place in medical school, and ended up as a lab technician. When he was temporarily ditched by his girlfriend Elizabeth Skarie (whom he eventually married), he accepted Ben's invitation to start a business.



1978: In Business!

Jerry and Ben decided on an ice-cream business, and invested \$5 in an ice cream making course. Since most warm cities already had homemade ice cream shops, they settled for Vermont despite its cooler climate. They got a bank loan of \$4,000; put in \$4,000 of savings each, and started Ben & Jerry's with a working capital of \$12,000.

The company was incorporated in Vermont on 17th December, 1977. Jerry and Ben took over an old service station building in February 1978, scrimped and saved to renovate it, concurrently figured out how to make ice cream, and opened the shop for business in May 1978.

KEY QUOTES

"With the exception of buying a big rig and becoming cross-country truck drivers, most of Jerry and Ben's ideas for a business involved food."

"Our original concept for the store was 'Ice Cream for the people'. We wanted to make the best ice cream available and sell it at a price that everyone could afford."

- Jerry Greenfield



1979: One-year Anniversary & Free Cone Day

When sales tapered off nearing winter, they started to promote the store to stay in business. They worked with a local graphic artist to develop ads using hand lettering, and tried a range of promotions, including a new company slogan, throwing an annual gala (with stilt walking, ice-cream eating contests, frog jumping etc.), launching a “Penny Off Per Celsius Degree Below Zero Winter Extravaganza”, and running a free outdoor movie festival during the summer .

They also launched their first-ever Free Cone Day on the annual anniversary of their store’s opening, giving out free scoops to everyone. This tradition still continues today . But, despite strong sales, they were still losing money.



1980: Wholesale took off

Their wholesale business started with Ben driving to restaurants to ask if they wanted ice-cream. The company soon needed additional production capacity, and secured more loans to convert an old textile mill for manufacturing.

By summer, they had a manager running the shop, while Jerry churned ice cream and Ben handled sales and delivery. Although their shop was now making money, it wasn’t enough to cover the increased overheads.

One day, Ben hit on the idea of packaging ice cream in one-pint containers for sale through groceries and mom-and-pop shops. The new pint containers were launched in February 1980 with the slogan “Vermont’s Finest All Natural Ice Cream”. They printed a picture of the 2 founders on the lid and a money-back quality guarantee at the back of each container . Sales took off and within a few months, they grew from 35 wholesale accounts to more than 200.



1981: Franchise

Their first franchised scoop shop was launched in Vermont in July 1981. Around that time, Time magazine ran an article about homemade premium ice cream, hailing Ben & Jerry’s

KEY QUOTES

“The gas station was the embodiment of funk – which, like pornography, is hard to define, but easy to recognize when it’s staring you right in the face.”

as “the best ice-cream in the world”. This gave an added boost to the already-booming sales.



1982: Move to Downtown Burlington

By 1981, both Jerry and Ben were burnt out, worried about not living their values as successful businessmen, and considered selling the business. Ben eventually decided to stay, convinced that he could run business in accordance with his personal values, rather than traditional business notions. Jerry sold off 40% of his shares (retaining 10%), followed his girlfriend to Arizona, but agreed to return about 4 times a year under a consulting agreement. They brought in Fred “Chico” Lager as General Manager, so Ben could continue to focus on sales and marketing.

At the same time, they moved out of their signature gas station outlet to a location in downtown Burlington.



1984: IPO & Pillsbury Showdown

By this time, Ben & Jerry’s had successfully entered Boston, their first metropolitan market. They needed \$2.5 million to build a new plant, and decided to partially fund it with a Vermont-only IPO. The offering was over-subscribed, and Ben & Jerry’s raised \$700,000 in new equity. They also secured the debt funding required for the plant expansion.

Around mid-1984, Häagen-Dazs (the leading premium ice cream brand and subsidiary of conglomerate Pillsbury Corporation) tried to force Ben & Jerry’s Boston distributors to cease carrying their ice cream. Ben & Jerry’s decided to launch a media campaign against Pillsbury – “What’s the Doughboy afraid of?”.

- They portrayed Pillsbury as the big boy trying to unfairly quash 2 hippies from Vermont (who embodied the American Dream).
- Jerry came out of retirement, and started a one-man picket outside the Pillsbury corporate office. They offered write-in kits with sample letters of protest, campaign T-shirts, and put stickers on their ice cream containers with an 800-number for people to comment about Pillsbury’s

KEY QUOTES

“If there’s something you don’t like about the business, change it.”

*- Maurice Purpora,
restaurateur*

“Other than the founders themselves, nothing personified the business more than the original store. Without it and Jerry, Ben was now running a much different business from the one the two friends had started four and a half years earlier.”

“In retrospect, the key to the case had been the decision to retain lawyers who were already completely familiar with the relevant case law, not someone who’d have to spend time in the library, researching precedents.”

actions. They received extensive media coverage.

- Ben backed up the publicity campaign by hiring an established attorney with strong experience in antitrust litigation.
- In less than a year, they secured an out-of-court settlement, which effectively prohibited Häagen-Dazs from interfering in Ben & Jerry's distribution arrangements. They had also received more publicity than ever possible with paid advertising.



1985: Ben & Jerry's Foundation

Just after their Vermont IPO, Ben & Jerry's found themselves growing so fast that they were 2 years ahead of projections. In May 1985, they raised another \$5 million in shareholder funding on Nasdaq to fund further capacity expansion.

In the meantime, the Ben & Jerry's Foundation was set up to fund projects for social change, supported by 7.5% of pretax profits from Ben & Jerry's. Ben also gave 50,000 of his personal shares as an initial endowment.



1986: Dreyers & Cowmobile

Soon after the Pillsbury saga, Ben & Jerry's faced another competitive threat, this time from Richie Smith, who was acquiring Steve's (a homemade ice cream maker) to directly compete with Ben & Jerry's.

Ben responded with the near-impossible goal of entering the remaining major markets, to achieve national distribution before Steve's was relaunched. They broke into the first 4 new markets with just Ben and 1 other sales staff. Fortunately, a distribution deal with Dreyers took care of their next 4 major markets and many other smaller cities.

Smith re-launched Steve's as a direct imitation of Ben & Jerry's, down to their best-selling flavours, packaging, and their claim of "Boston's Best" to pit against Ben & Jerry's "Vermont's Finest". By now, Jerry was back on the payroll. He and Ben decided to personally do a cross-country scoopathon.

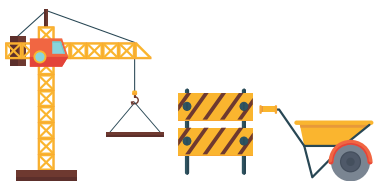
KEY QUOTES

"They had unwittingly handed us a public-relations bonanza that had created brand awareness for our ice cream far in excess of anything we could have generated with paid advertising."

"Ben and I found it somewhat amusing to watch our stock price go up and down with very little correlation to how things were going at the company. Most of the movement was tied to investment reports that the brokerage firms were now publishing about our stock."

"The second brand in (a market) faced a huge uphill battle, not just with the ultimate consumer, but with distributors and retailers who would question the need for a "me too" product."

They created “Cowmobile” from an old recreational vehicle, and drove across the country giving away free ice cream cones. The campaign created awareness for their ice cream around the country, and generated more than \$1 million of free publicity. Sales doubled for the 3rd year in a row, to reach almost \$20m.



1988: Strengthening foundations

Ben & Jerry's ended 1988 with more than 80 scoop shops in 18 states, and sales growing by about 50% for the 2nd consecutive year. The company had been struggling to keep pace with its explosive growth, and saw the critical need for organizational development, succession planning and mission clarification and actualization.

In the meantime, Ben & Jerry's embarked on several innovative social-mission projects, e.g.

- Introducing a novelty bar (Peace Pops) to promote having the Federal Government allocate 1% of the annual defense budget to promote world peace;
- Taking brownie supplies from a small bakery which hired homeless and unemployable people;
- Opening a scoop shop in partnership with a community group to provide job experience and business training for youths; and
- Changing to environmentally-friendly packaging and taking on related environmental initiatives.

They concurrently decided on a co-packing arrangement (to support their growth without constantly adding new plants and employees), and set up a franchise advisory council to improve their franchise arrangements. However, human resources - filling key management positions, training, staff alignment - continued to be an issue.



1990s: Stability and Recognition

By 1990, the organization development work was starting to pay off, with the majority of staff feeling satisfied with their jobs, and supportive of the company's social mission. The company also started to win several awards for its products,

KEY QUOTES

“(Jerry) was once again an integral part of the company, contributing to its success on many levels.”

entrepreneurship and social responsibility, e.g. making it to the Forbes Magazine list of “200 Best Small Companies in America” for the 3rd successive year in 1992, and having one of its flavors selected as one of Fortune Magazine’s “Products of the Year”.

Their social mission was also taking shape with several new initiatives:

- They sought alternative producers and suppliers, including fruit from the Passamaquoddy Indians in Maine & Brazil nuts grown in rain forests (rather than from cut-down trees);
- Ben & Jerry’s replaced Oreo cookies in its recipes because the supplier also sold cigarettes;
- When milk prices dropped, Ben & Jerry’s paid Vermont farmers a premium based on historical prices; and
- Ben & Jerry’s promoted a social pressure group called ACT NOW which took a public stand on various issues with social impact.

After a few years of slower but steady growth, Ben & Jerry’s pulled just slightly ahead of Haagen Dazs in market share in end-1994, and a new CEO, Bob Holland, came onboard.

The Inside Scoop and Useful Insights

Behind Ben & Jerry’s phenomenal success were numerous challenges, many of which were not obvious to the external world. Lager shared the inside story through anecdotal examples in vivid detail. In this segment, we present some of our key takeaways.

Staying True to Themselves



The 2 founders were instrumental to the company’s success. **Their business philosophies influenced all aspects of business**, and were probably best represented in their quotes on the first Free Cone Day:

KEY QUOTES

“Their involvement in the business was so personal that it was impossible to delineate where Ben and Jerry ended and where Ben & Jerry’s began.”

“Jerry and Ben had decided early on in their business careers that they would only do the jobs they liked to do.”

“If it’s not fun, why do it?” – Jerry

“Business has a responsibility to give back to the community from which it draws its support.” – Ben



The duo worked hard, but also focused on what they enjoyed, and this led them to play to their complementary strengths:

- Ben was optimistic, entrepreneurial, driven, set uncompromising quality standards, and had great marketing instincts & creativity. However, his perfectionist standards, endless ideas and constant changes made him hard to work with.
- Jerry was accessible, down-to-earth & loved experimenting with ingredients, making him a great operations chief and ombudsman.

A Commitment to Quality



Jerry and Ben developed their first ice creams at home. Due to a sinus problem, Ben had a deficient sense of taste and smell. Hence, their ice-cream had to be heavily flavored with lots of chunky ingredients before Ben could even decipher the flavors.



From the onset, they wanted their ice-cream to be the best - rich, creamy, smooth, dense and chewy – even if it cost more. They were willing to put a money-back guarantee behind their quality.



They were constantly experimenting with new flavours and retiring less popular ones.

More than money

Making money was never Jerry and Ben’s main priority, and book-keeping was certainly not their strength. How did they succeed?



With no real business plan nor knowledge of what was involved, Jerry & Ben started by improvising and learning on-the-job:

- To approach the bank for loans, they took a copy of their friend’s pizza parlour plan, and substituted the word “slices” with “cones”. Having no idea how much things

KEY QUOTES

“No matter how many variations of a product Ben tasted, and how many times he changed the formula, he was always convinced he could further improve what he was working on.”

“Jerry liked experimenting with ingredients, and to this day maintains that there is no such thing as an unredeemable batch of ice cream.”

“Ben often spoke of the competitive advantage that came from producing a product that was so difficult to make that no one else would put themselves through it.”

‘We didn’t have a lot going for us. We had no assets or collateral to speak of. We were new to the area. We were young. We weren’t married. And we had no business experience.’
-- Jerry Greenfield

would cost, they guessed a reasonable selling price, and work backwards assuming 40% cost-of-goods-sold.

- A couple of months after opening, they put a sign on the door that said: “We’re closed today so we can figure out if we’re making any money”. Their accountant soon revealed they were making losses despite average sales of \$650 per day. They ended their first year with double the projected sales, but no profit.
- In 1982, when Chico joined the company, Ben & Jerry’s reported a loss of about \$4,000 despite sales of almost \$1 million. They finally setup a better accounting system in 1983. Despite tight cash flows, they were always contributing to the community.



Jerry and Ben scrimped and saved, always putting the business first:

- During the startup phase, they ate saltine crackers and canned sardines to conserve cash for the renovations. Even after the store opened, they survived on crepes and sundaes that customers left behind;
- To open their first shop with \$12,000, they bought used equipment at a bargain. They also offered “ice cream for life” to their building contractor and plumber, and eventually to one of their customers in return for his live piano music in the store.
- By the end of 1980, they had more than \$370,000 revenues and a profit of \$33,000, but paid themselves only \$8,000 per year.

Social Responsibility



At the core of Ben & Jerry’s social philosophy is “linked prosperity” -the idea that a company shares its rewards with its community and employees. To bring this to life, they formalized 2 policies:



Corporate Donations. The company would commit 7.5% of its pretax profits to the Ben & Jerry’s Foundation, a non-profit organization that funded projects for social change; and



The five-to-one salary ratio, which stipulated that no one in the company could earn more than 5 times what was being paid to the entry-level staff. To attract top management talent, this ratio was increased to 7-to-1 at the end of 1990.

KEY QUOTES

“So here were Ben and Jerry, in the midst of the rubble that was being transformed into what they fully expected to be their first and only outlet, trading the promise of free ice cream from a nationwide chain of stores that existed only in their plumber’s mind, for a couple of hundred feet of copper pipe.”

“We began to talk about the concept of ‘linked prosperity’ ...What it meant was that as the company grew and prospered, the benefits would accrue not just to the shareholders, but also to our employees and the community.”



Even when raising equity, they focused on giving back to the customers who had supported them. During their first IPO in 1984, Ben insisted on selling stock only to residents of Vermont (despite everyone's objections), with the goal to give their earliest supporters a chance to profit from their success. They also set the minimum purchase at 12 shares for \$126 (despite administrative burdens), so more people could afford it.



Although Jerry and Ben initiated many successful social missions, these created tension within the company.

- For example, in 1988, Ben wrote to supporters about Peace Pops (his brainchild), making commitments on behalf of the company without prior consultation with the management team. The team was very upset, and the lack of internal alignment led to delays in the launch and other product and marketing issues which were costly to fix.
- Jerry and Ben finally realized that they had to help the rest of the organization to understand the mission statement. A meeting was held with all 300 employees to explain their mission, and to inspire employees to leverage on company resources to make an impact. This was a turning point, inspiring new social champions within the company and resulting in their most successful environmental initiatives.



By 1991, more than \$1.5 million had been allocated to the Ben & Jerry's Foundation. What was most surprising was that none of the social programs had negative impact on the company's bottomline.

Growing Pains

For many years, there was no long-term planning at Ben & Jerry's. Decisions were made as and when new opportunities and problems surfaced. Ben also didn't want the company to grow too big (though being creative by nature, he'd inadvertently push for new products and ideas which propelled the company's growth).



For almost every year until 1988, the company was grappling with the construction of new facilities, cash flows and talent shortages:

- When the first store opened in May 1978, construction was still going on and they ran out of ice-cream regularly.
- In 1980 they expanded to the old-textile-mill, and by

KEY QUOTES

"The object of the in-state offering is to allow the average Vermonter the opportunity to invest in and hopefully profit from Ben & Jerry's – an ice cream company which the average Vermonter supported, made famous, and allowed to prosper."
- Ben Cohen

"Ben was always better working one-on-one than in big groups, preferring to do things his own way without discussing with everyone else."

"Most people suspend their values about contributing to society when they go to work...Its when we're at work that we're most powerful, because we're organized and we have the financial resources of the company behind us."
- Ben Cohen

It's not a question of making great ice cream, making some money, and then going and doing socially responsible things. Caring about the community has to be imbued throughout the organization so that it impacts every decision we make."
- Ben Cohen

the next year, they moved to a factory that was 4 times larger. Concurrently, they had to find the best way to fill pint containers, being the industry pioneers to sell in pints.

- Despite raising \$2.5m in 1984 for a new plant, they had to raise money again the next year for even more, all the while struggling with teething problems and cost overruns for the first plant.



In all successful ventures, **at some point the company's entrepreneurial founders must hand the baton over to a management team.** By the late 1980s, it was clear that Ben & Jerry's had reached that stage of growth, but the transition was painful.

- Besides constant capacity shortage, the company's systems were not keeping up with its explosive growth. This included inadequate computer systems, loose financial controls, lack of training and procedures, and poor communication/ coordination. Ben & Jerry's was becoming more departmentalized, less connected, and employees no longer understood the vision, values and philosophy .
- For example, the management were having a heated discussion on production shortfalls (yet again) when Jerry and Ben marched in and announced they were starting a committee to focus on joy at work. **There was a disconnect - Management felt the founders and Board had lost touch with reality, while Jerry and Ben felt that the company was losing its soul.**



Finally, a Ben & Jerry's Mission Statement was developed in 1988, focusing on linked prosperity and breaking it down into 3 interrelated components - their product mission, their social mission, and economic mission. The all-staff meeting highlighted earlier played a crucial role in bringing people together .

- In fact, these **all-employee meetings** were useful for 2-way communication and joint decision making. Staff broke up into small groups to problem-solve on specific issues, allowing people take part in the decision making process. Stories were shared to reinforce the company's culture, values, and operating philosophy, and staff were recognized and celebrated for all sorts of accomplishments or contributions.

KEY QUOTES

"Working smarter, not harder, would have been an option, but no one knew how."

"Ben and I had no long-term strategy plan for the business. Decisions were made incrementally, from month to month and summer to summer, as opportunities and problems presented themselves."

"One reason the transition in leadership was so difficult was that it was taking place at the same time that the company's values were being redefined."

"The environmental projects were the most successful actualization of the three-part mission to date...the idea had emerged from within the organization...and it proved, for the first time, what we could accomplish when everyone was headed in the same direction."

"Staff meetings were also the means through which we preserved and passed on the company's culture, values and operating philosophies."

Sales and Marketing



Ben & Jerry's marketing efforts were very much an extension of who they were – unpretentious, all-American, socially responsible and a little funky. This gave them a unique niche in the super-premium ice cream segment which, in the 1980s, was characterized by sleek, foreign-sounding brands.



Giving away ice cream had been a natural part of Ben & Jerry's:

- From the one-for-one promotion on their opening day, to the Free Cone Day every anniversary, Jerry and Ben just loved giving away ice cream;
- When they decided to enter the major markets (starting with Boston), most of the key players were spending a lot on TV advertising. Ben & Jerry's did the bare minimum (as expected by the major supermarket chains), but focused their resources on giving away free pints and spoons of their ice cream;
- When faced with direct competition from Steve's in 1986, Jerry and Ben responded with their cross-country scoopathon, which was highly effective in raising awareness for the brand.



Engaging with their customers was also a natural gesture:

- It was common for new ice cream flavours to be developed using customers' suggested ingredients, and some of their best-selling flavours (e.g. Chunky Monkey, Chocolate Chip Cookie Dough) came from customers' suggestions.
- Since the early days, Jerry personally replied to all customer mails and enquiries. As the volume grew, they hired help to craft personal responses to each letter, and Jerry still added a handwritten note to each reply. This built greater loyalty for Ben & Jerry's, though that was not the original intention.
- Under the new marketing head, they offered tours of their factory – a powerful way to educate & engage their visitors.

KEY QUOTES

"Some of what transpired at the staff meetings took on an air of tribal celebration."

"If Häagen-Dazs and the clones were worldly and elegant, we were funky and unpretentious. If they were slick and sophisticated, Ben & Jerry's was down-home and genuine."

"Giving away ice cream came to them naturally, and they did it without a premeditated calculation as to what the payback might be down the road."

"They had connected with their customers, who felt like they were an integral part of what was happening, not merely a source of revenue to some faceless businessmen.... There was a sense from the beginning that this was something special."

*- Caryl Stewart
(leasor for the gas station)*



Their **bold, personal and fun marketing approach** cut across promotions, IPOs and even in their Pillsbury campaign:

- For their Vermont IPO, they broke norms by running teaser ads that said “**Get a scoop of the action!**” and advertised a toll-free number for people to call for the Prospectus. Instead of using brokers and underwriters, they sold the shares via informational meetings around Vermont.
- When recruiting their new CEO in 1994, they launched a “**Yo, I’m Your CEO**” contest. Each applicant had to submit an essay on why he should be the new CEO. The 1st prize was the job, and the 2nd prize was membership in their “free-ice-cream-for-life club”.

Other Useful Details in the Book to Look Out For



It is impossible to replicate the vivid anecdotes and humour in the book, and there are many details in the stories that are entertaining and insightful at the same time. While we have tried to capture the key highlights and takeaways that can be applied in your work and business, nothing beats reading the book yourself. You can also get more updates and information at [Ben & Jerry’s official website](#).

KEY QUOTES

“We weren’t aware of it at the time, but studies indicate that someone who has a problem with a company that the company resolves to their satisfaction is more likely to be a loyal customer in the future than a consumer who’s never had a negative experience.”